

Greencore Group PLC GNC LN

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by

gcose4

			2026	2027
Price:	211.00	EPS	21	28
Shares Out. (in M):	711	P/E	10	7.5
Market Cap (in \$M):	913	P/FCF	NM	11.7
Net Debt (in \$M):	820	EBIT	219	296
TEV (in \$M):	1,733	TEV/EBIT	7.9	5.9

Description

Greencore is an undervalued and misunderstood company that we believe is set to nearly double over the next 12–24 months. It is the clear #1 in UK fresh prepared food - the sandwiches, salads, sushi, ready meals, cooking sauces and desserts you buy from Tesco, M&S, the Co-op, Sainsbury's, Aldi and every other major grocer in Britain. In January it closed the acquisition of Bakkavor, its only real peer of scale, creating a ~£4bn-revenue business at the center of the UK's private-label food supply chain with no equivalent competitor. The market cheered the deal, ran the stock to 308p in February, then dumped it back into the low-200s, roughly a one-third drawdown, over a first-half working-capital swing management told everyone in advance would reverse, and a soft-consumer narrative that has little to do with the durability of the cash flows. This is a business with 15% ROIC, contracted volumes, pricing that recovers input costs with a lag, £80m of cost synergies landing over three years, and a balance sheet that de-levers from ~2.4x to net cash by the back half of the decade. It trades at ~10x this year's earnings and under 6x next year's EV/EBITDA - a discount to a mediocre peer group and ~30% below its own 15-year average - for a franchise that just got materially better. We put fair value at 340–360p today, with a path to the mid-400s as the synergies bank and the balance sheet clears and a boring, entrenched, cash-generative food company does exactly what it said it would do.

Industry Overview

UK fresh prepared food (FPF) is one of those quietly high quality industries that largely goes under the radar. The product is the chilled sandwich, the salad bowl, the sushi tray, the ready meal, the pot of hummus, the jar of cooking sauce - food that is made fresh, has a two-to-five day shelf life, and has to be manufactured, chilled, and physically delivered to store shelves every single day. That last part is the whole ballgame. Because the shelf life is measured in days, this cannot be imported, cannot be centralized offshore, and cannot be run on a thin, just-in-time basis by a newcomer. It requires a dense national network of factories, chilled logistics, and daily direct-to-store distribution. Greencore alone runs 16 manufacturing sites and 621 chilled distribution vehicles servicing tens of thousands of retail outlets a day.

The customers are the UK grocers - Tesco, Sainsbury's, Asda, Morrisons, the Co-op, M&S, Aldi, Lidl, Waitrose - plus food-service and travel names like Boots, Costa, Caffè Nero and BP forecourts. These are enormous, sophisticated, cost-obsessed buyers, and they do not want to run food factories themselves. So they outsource it, almost entirely on a private-label basis, to a tiny handful of suppliers who can hit the food-safety bar, the daily-delivery bar, and the innovation bar simultaneously. Over the last two decades that handful consolidated down to three: Greencore, Bakkavor, and the privately held Samworth Brothers. The #4 player, Adelie, collapsed into administration in 2020, and its volumes largely landed with Greencore. As of January, the top two of those three are now one company.

The economics that fall out of this structure are what make it interesting. These are typically multi-year contracts - the vast majority of sandwich volume, for instance, sits on three-to-five year agreements - often with the supplier as sole or lead manufacturer of a given line, built into the customer's supply chain with dedicated capacity and co-developed products. That is not a relationship a grocer rips up over a fraction of a penny, because the switching cost is a food-safety and continuity risk they simply will not take on a product their own-brand reputation depends on. The result is a business with grocery-like demand stability, high asset turns, and — for the well-run operators — 15%+ returns on invested capital.

Company Overview

Greencore is the largest fresh prepared food manufacturer in the UK, and post-Bakkavor it isn't close. The combined group does roughly £4bn of revenue across the two things Britain actually eats: "Food for Now" — the traffic-driven food-to-go categories (sandwiches, sushi, salads, the meal deal) — and "Food for Later" — the at-home categories (ready meals, cooking sauces, desserts, dips, pizza, bread). Legacy Greencore was the runaway leader in food-to-go, with well over half the branded-equivalent UK sandwich market and a dominant position in ambient cooking sauces. Bakkavor brought the complementary half: ready meals, fresh dips, desserts, and a deeper bench in the "later" categories, plus a US and China footprint that is frankly optionality we're getting for free.

The synergies here are relatively easy to underwrite: two entities with complementary logistics and infrastructure coming under one roof. Nothing needs to be built — we get to buy raw materials as a ~£4bn buyer instead of two ~£2bn buyers and to fill each other's factory white space. We get to take Bakkavor's dessert and ready-meal capability and sell it into legacy Greencore's customer relationships — which management is already doing, having won a ~£40m cream-cake contract that phases in from August and that isn't in anyone's forecast. This is a fully-built national platform that took twenty-five years and one competitor's bankruptcy to assemble, and it is very unlikely anyone will try to replicate it, allowing a long growth runway for Greencore with an entrenched position.

Earnings Trajectory

The market is valuing Greencore as if its earnings are about to roll over. We think they are about to inflect meaningfully higher, and that the drivers are largely in the company's own hands rather than dependent on the UK consumer.

Start with the base. FY25 (the last full year as standalone Greencore) delivered record adjusted operating profit of £125.7m on £1,947m of revenue, a 6.5% margin (up 110bps year-on-year), free cash flow of £120.5m, and ROIC of 15.0% — up 350bps from 11.5% the year before. Management has, refreshingly, planted a flag on returns: they've named ROIC the company's "North Star" and are explicitly running the business so that every part of it earns its cost of capital.

There are three distinct sources of profit growth, and none of them require heroic assumptions about volume:

1. **£80m of cost synergies**, phasing roughly 50% / 85% / 100% over three years — procurement scale, factory network optimization, and overhead. This is management's number, it's been reiterated at every check-in since the deal closed including the late-May interims, and it is largely self-help.
2. **Underlying margin convergence**. Legacy Greencore ran a 6.5% margin; the combined group is targeting a path toward ~7.5% as Bakkavor's profit conversion

catches up to Greencore's operating discipline. The math the Street appears to be running is instructive: strip the full £80m of synergies out of the consensus FY30 operating-profit forecast and you're left with an implied ~5.9% margin — below where legacy Greencore already operates. In other words, the sell-side numbers appear to assume Bakkavor's margins barely improve. That is a low bar, and it's the kind of conservatism that becomes upside.

3. **Deleveraging.** The group closes FY26 around 2.2–2.4x net debt/EBITDA and, on the strength of the cash generation, gets to roughly 1.7x next year and toward net cash by the end of the decade. Every turn of leverage that comes off is equity value that accrues to us without the operating business having to do anything at all.

Put together, we get to adjusted EPS of roughly 21p this year building to ~28p next year and into the mid-30s by the back half of the decade — and that's before any of the free revenue synergies, any premiumization mix benefit, or any use of the balance sheet for buybacks. The interims in May were *ahead* of expectations, with adjusted operating profit up 15% and both legacy Greencore and Bakkavor growing operating profit double-digits — despite a soft volume backdrop. The engine is already running ahead of plan while the stock prices in a stall.

Factors that drive Greencore's undervaluation

1. **The "just did a big deal" discount.** This is the big one. UK mid-cap food M&A of scale carries an almost automatic penalty, because investors have been burned by integration disasters and because a transformational acquisition temporarily wrecks the reported numbers with exceptional charges, deal fees, and working-capital noise. Greencore is right in the teeth of that: ~£110m of cash exceptionals in FY26 (deal fees, synergy-realization costs, ERP), interest costs stepping up to fund the deal, and a messy first-half optics profile. The market looks at the reported P&L, sees chaos, and stays away. But every one of those charges is disclosed, guided, declining (exceptionals more than halve to ~£50m next year), and in service of an £80m recurring benefit. You are being asked to look through one bad-looking year, which is exactly the kind of thing a public market perennially refuses to do and exactly where the money is made.
2. **Working-capital confusion masquerading as a broken thesis.** The proximate cause of the ~one-third drawdown was an £86m first-half working-capital outflow that spooked investors, compounded by some clumsy management commentary about invoice-discounting facilities on the analyst call. Here's the thing: Greencore *always* has a working-capital outflow in the first half that reverses in the second — it has done so every year for at least the last four — and management has guided to a broadly neutral position for the full year, consistent with prior years at roughly -8.5% of sales. This was a seasonal timing issue dressed up by the market as a cash-quality problem. It is the single clearest example of the market mistaking noise for signal in this name, and it is a large part of why we get to buy in the low-200s instead of 300p.
3. **A soft-consumer narrative that misreads the portfolio.** The bear points to weak UK consumer confidence, ~3–4% lower high-street traffic, and subdued grocery volumes, and concludes demand is rolling over. But the portfolio is naturally hedged: when traffic softens and households tighten up, spending shifts *out* of restaurants and *into* at-home meals — which is precisely Greencore's "Food for Later" business. And even against that supposedly grim backdrop, legacy Greencore grew volumes 30bps ahead of the overall grocery market in the first half. This is a defensive staple — people eat sandwiches and ready meals in good times and bad — being mispriced as a discretionary cyclical.

Where are numbers heading?

This is the most constructive setup for Greencore's earnings in years, and the beauty of it is how little the market has to cooperate. The company is through the single most disruptive event in its history — a transformational merger — and into the phase where the hard part is done. The factories are built, the customer relationships exist, the networks are being stitched together; from here the work is integration, procurement savings, factory optimization and cross-selling. Combined revenue builds from ~£3.4bn toward ~£4.5bn by decade-end on a low-single-digit organic CAGR plus the full-year merger effect, operating margin walks from ~6.5% toward 7.5%, and free cash flow ramps from a depressed deal-year level to over £200m by FY30 as exceptionals roll off and working capital normalizes.

Whether this is a screaming buy or merely fair comes down to whether you believe the synergies and the margin path show up. The sell-side forecasts embed almost no Bakkavor margin improvement (that 5.9% ex-synergy implied margin), management has hit targets since close, and the interims came in ahead. The Street is under-modeling the cash conversion of this business at a moment when the market cap is only about half of enterprise value — so every incremental pound of EBITDA and every turn of deleveraging is heavily geared into the equity.

Supply / Demand

People do build fresh prepared food capacity in Britain — there is a long tail of niche and regional players, and you'll see the occasional new factory announced (a food-to-go specialist here, a chilled-dumpling brand there). But what almost nobody can build is tier-one, national, multi-category own-label supply for the big grocers. Winning that work requires scale in chilled logistics, a national daily-delivery network, food-safety accreditation across dozens of retailer audits, and multi-year contracts you cannot land without an existing track record — a combination that took the incumbents decades and hundreds of millions of pounds to assemble. The sub-scale entrants nibble at the edges (a single category, a single region, a premium niche); they do not displace the sole-supplier relationship on a grocer's core sandwich or ready-meal range, because no buyer hands a food-safety-critical, own-brand line to an unproven newcomer. The category's tier-one supply consolidated to three — Greencore, Bakkavor, Samworth — for exactly this reason, and as of January the top two of those are one company. Meanwhile the CMA looked hard at the combination and cleared ~99% of the combined group's revenue, carving out only own-label chilled sauces for remedy. Tellingly, the regulator's comfort rested partly on the presence of smaller and emerging suppliers — which is the honest picture: fringe competition exists and keeps the market contestable, but the scaled, entrenched, contract-anchored position Greencore holds is not one a new entrant replicates in any relevant timeframe.

On the demand side, this is food. Britain will eat roughly the same number of sandwiches and ready meals next year regardless of what the FTSE does. The category has grown volumes through cycles, and the structural tailwind — busy dual-income households, the decline of home cooking from scratch, the premiumization of the meal deal — is intact. Add the "trade-down to at-home eating" hedge on the "Food for Later" side, and you have a demand profile that is about as boring and dependable as consumer spending gets.

Pricing

Here's the mechanism the market keeps forgetting. Greencore's contracts with the grocers are structured to pass through input-cost inflation, with a lag. When commodity and labor costs rise, the company recovers them in its pricing over the following months; when they fall, it holds price and banks the margin. It is not a perfect hedge and the lag can pinch a quarter, but across a full cycle Greencore and Bakkavor have both demonstrated, repeatedly, the ability to recover raw-material inflation through the contract structure.

Right now the setup is favorable on both ends. UK food inflation has cooled to ~2.8%, and several of Greencore's key inputs are outright deflationary — dairy in particular, where cream (critical to the desserts business) is down over 50% year-on-year, butter down ~45%, cheddar down ~27%. That's a tailwind to the desserts and ready-meals margins right now. And if food inflation re-accelerates later this year — which the industry expects, given the war-driven pressure on global agriculture supply chains — the contract pass-through kicks in and Greencore recovers it, as it always has. Either way, pricing is not the risk the bears think it is; if anything, near-term input deflation is a quiet margin tailwind the Street hasn't fully credited.

Valuation

What should a de-levering, cash-compounding #1 with self-help earnings growth be worth once the market stops treating it as a broken

merger?

Start with where it sits versus the group it's lumped in with. Greencore trades at ~10x this year's adjusted EPS and under 6x next year's EV/EBITDA — a discount to a UK food peer set that is, frankly, a weaker collection of businesses:

Company	P/E CY26E	P/E CY27E
Greencore	11.6	9.4
Hilton Foods	11.1	10.0
C&C Group	10.1	9.6
Premier Foods	13.3	12.8
Nichols	13.5	12.7
AG Barr	14.1	13.0
Glanbia	17.3	15.7
Cranswick	18.4	17.4
Fevertree	28.0	20.7
UK food peer mean	13.6	12.4

That's a ~15-25% discount on P/E — and roughly a 30% discount to Greencore's own ~13x 15-year average forward P/E — for the business with the best assets, the clearest synergy story, and the fastest deleveraging in the group. This is an unusual level of quality being offered at this valuation.

The cleaner way to value this is on cash. Greencore is a high-conversion business, and once the deal exceptionals roll off, reported free cash flow snaps back toward true earning power. Here is the profit and cash bridge out to the point where the balance sheet is largely clear:

£m unless noted	FY26E	FY27E	FY28E	FY29E
Revenue	~3,400	~4,150	~4,300	~4,430
Adj. operating profit	219	296	320	340
Adj. EPS (p)	21	28	30	33
Free cash flow	~40	~130	~165	~195
FCF / share (p)	~6	~18	~23	~27
Net debt / EBITDA (x)	~2.4	~1.7	~1.1	~0.5

Blends what the Street appears to project with our own model; FY28/29 are our estimates. Shares ~711m.

By FY28-29 the company is generating ~23-27p of free cash flow per share with the balance sheet nearly clean. A staple franchise with the #1 share position, contracted volumes and a clear runway does not trade at 7x cash — the peer group trades north of 12x earnings, and compounders trade higher still. Put a 13-15x multiple on ~27 FCF/share and you are at 350-400p.

The other methods converge on the same zone. FY27 EPS of ~28p at a still-discounted 12.5x is 350p (390p at the peer-average ~14x). FY27 EBITDA of ~£438m at a peer-consistent 7.5-8x, net of ~£720m of (shrinking) net debt, lands 340-370p.

Blend them and **fair value today is comfortably 340-360p** — a ~60-70% return from ~211p: a US business plausibly worth £150-190m in a disposal (~20% of the market cap), £40m+ of revenue synergies, and eventual buybacks once leverage clears.

When will the price move?

It has already stopped falling — the stock bottomed near 191p and has stabilized — and we think the next twelve months bring a series of catalysts that force a re-rate:

The 2H working-capital reversal. The most direct one. When Greencore reports a neutral full-year working-capital position as the first-half outflow reverses into a second-half inflow.

Synergy delivery on the tape. Every reiteration and realization of synergies, chips away at the "botched merger" discount.

Exceptionals rolling off. As the ~£110m of FY26 cash exceptionals more than halve next year and the reported P&L starts to resemble the underlying earnings power, the market gets to value the real business rather than the transition.

Deleveraging and the return of capital. As net debt falls toward 1.7x and beyond, the conversation shifts from balance-sheet risk to capital returns — buybacks and a growing dividend. A ~£910m market cap generating £200m of FCF within a couple of years is going to buy back a lot of stock.

Insider conviction. The Chairman just put ~£244k of his own money into the stock — 125,000 shares in June — right into the teeth of the selloff. Management takes ROIC seriously enough to make it the "North Star," and the people who know this business best are buying it here.

Sentiment vs. reality. The headlines say "consumer weak, merger messy, cash flow shaky." The reality is a #1 franchise with contracted volumes, input deflation in key categories, £80m of cost synergies coming, a de-levering balance sheet, and interims that beat.

Risks & Mitigants

Integration execution. The bear's headline fear: two big food companies merge, synergies slip, and the £80m never fully lands. Fair — merger integration is where value goes to die. *Mitigant:* this is a controllable execution story, run by a team that has delivered — a combination of two businesses that barely overlap (the CMA cleared ~99% of revenue), with every milestone hit since close and interims ahead of plan. The synergies are procurement scale and network optimization, should be controllable, not revenue synergies that require the two sales forces to hold hands. And the sell-side already assumes almost none of the margin upside, so the bar to beat is low.

The UK consumer. Soft confidence, weak high-street traffic, cautious grocery volumes. *Mitigant:* this is a defensive staple, not a discretionary cyclical — people eat sandwiches and ready meals in every part of the cycle — and the portfolio is naturally hedged, because a weak consumer trades down from restaurants into the at-home "Food for Later" categories Greencore also supplies. Even in the soft first half, legacy Greencore grew volumes ahead of the market. Demand here is about as boring and dependable as consumer spending gets.

Input-cost inflation. A re-acceleration in food inflation — plausible given global supply-chain pressure — squeezing margins. *Mitigant:* Greencore's contracts pass input costs through to the grocers with a lag, and both it and Bakkavor have recovered raw-material inflation repeatedly across cycles. The lag can pinch a quarter, but it doesn't break the thesis. Near-term, several key inputs (dairy especially) are outright deflationary, which is a quiet tailwind, not a headwind.

Customer concentration. A handful of grocers drive most of the volume, so the loss of a major contract would sting. *Mitigant:* concentration cuts both ways — these are multi-year, sole- or lead-supplier relationships built into the customer's own supply chain, and a grocer does not casually re-tender a food-safety-critical, own-brand line. The switching cost and continuity risk are exactly why these relationships are so sticky, and why the category consolidated to three players in the first place.

Leverage. The group carries ~2.4x net debt/EBITDA post-deal, and stretched balance sheets amplify any operational miss. *Mitigant:* the cash generation de-levers this fast — toward 1.7x next year and net cash by decade-end — and the debt was raised to fund a value-creating acquisition, not to paper over a broken business. This is transitional leverage on a highly cash-generative asset, not structural leverage on a fragile one.

A food-safety event. The tail risk in any fresh-food business — a contamination or recall that damages a customer relationship or the brand. *Mitigant:* impossible to eliminate entirely, but Greencore's scale, accreditation, and track record are precisely why it holds the contracts it does; the same food-safety bar that creates the tail risk is the moat that keeps competitors out.

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

- Second-half working-capital reversal to a neutral full-year position
- Delivery of the £80m synergy program (50% / 85% / 100% over three years)
- Exceptionals rolling off (~£110m FY26 → ~£50m FY27), letting reported earnings converge on true earning power
- Rapid deleveraging (~2.4x → net cash) shifting the conversation from balance-sheet risk to capital returns — buybacks and a growing dividend
- Margin convergence toward the ~7.5% target as Bakkavor's conversion catches up to Greencore's discipline
- Revenue synergies — a ~£40m cream-cake / desserts contract (~£8–10m of incremental EBIT) phasing in from August, outside base-case forecasts
- US segment divestiture (~£150–190m on 8–10x EBIT, ~20% of the market cap) accelerating deleveraging — a richer multiple than the ~7.9x EBITDA paid for all of Bakkavor, i.e. the parts worth more than the whole
- Continued insider buying and a cadence of earnings beats-and-raises

Messages

Subject Entry Member What's the breakdown of the \$110mm cash exceptionals? Thanks	Non recurring expenses 07/16/2026 09:29 AM lpartners
Subject Entry Member Bakkavor deal fees: £38m Synergy realization costs: £40m ERP: £22m Defined benefit pension: £10m	Re: Non recurring expenses 07/16/2026 10:58 AM gcose4
Subject Entry Member Why do they persist past 2026? Thanks	Re: Re: Non recurring expenses 07/16/2026 05:26 PM lpartners
Subject Entry Member Integration cost-to-achieve is multi-year, not a single hit	Re: Re: Re: Non recurring expenses 07/16/2026 06:26 PM gcose4
Subject Entry Member from the writeup: "Working-capital confusion masquerading as a broken thesis. The proximate cause of the ~one-third drawdown was an £86m first-half working-capital outflow that spooked investors, compounded by some clumsy management commentary about invoice-discounting facilities on the analyst call. Here's the thing: Greencore <i>always</i> has a working-capital outflow in the first half that reverses in the second — it has done so every year for at least the last four — and management has guided to a broadly neutral position for the full year, consistent with prior years at roughly -8.5% of sales. This was a seasonal timing issue dressed up by the market as a cash-quality problem. It is the single clearest example of the market mistaking noise for signal in this name, and it is a large part of why we get to buy in the low-200s instead of 300p." when I, intrigued, look at their 1H26 presentation, though, it shows (on slide 12): -£86mm in working capital outflow in 1H26, but +£4.1mm working capital *inflow* in 1H25. So, unless I'm misreading or misunderstanding something (which wouldn't be unprecedented..) the emphatic statement that "Greencore <i>always</i> has a working-capital outflow in the first half" etc, and that the market is somehow missing this, is undermined. And that then makes me wonder about the rest of the thesis.	perils of AI 07/17/2026 06:13 AM numc911
Subject Entry Member you're looking standalone Greencore which had a small and atypical working capital inflow in H1 2025 (~4mm) while Bakkavor had a 34mm outflow - hence jointly negative.	Re: perils of AI 07/17/2026 09:45 AM gcose4
Subject Entry Member Probably more emphasis on the working capital than necessary, it was part of the cause of the drawdown, is typical should reverse, but honestly isn't the crux of the thesis	Re: perils of AI 07/17/2026 09:48 AM gcose4